

CHAULAGAIN & ASSOCIATES

Registered Auditing Firm

Registration No.2859

COP no.0244 (kha)

VAT No.300902488

Kathmandu, Nepal

Mbl : 9851216717

Independent Auditor's Report

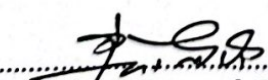
To,
The Proprietor,
SUDHAR EMPORIUM,
FASIKEB,KATHMANDU.

We have audited the enclosed **Income Statement , Balance Sheet and Cash Flow Statement** of **M/s.SUDHAR EMPORIUM, FASIKEB,KATHMANDU** for the fiscal year 2080/081. These Financial Statements are prepared by the management and our responsibility is to express our view on the financial reports.

We have conducted our audit in accordance with Nepal standards on Auditing and We report that:

1. We have obtained all the information and explanation which to the best of our knowledge and belief were necessary for the purpose of our audit.
2. Our examination was in accordance with the general accepted auditing standards and other such auditing practice as we considered necessary and appropriate in the circumstances.
3. In Our opinion , proper books of account as required by the existing rules and regulation have been kept by the firm appears from examination of these books of account.
4. In Our opinion, and according to the explanation given to me, the Balance Sheet and Income Statement shows as following.
 - i. In case of **Income Statement**, it shows **Net Profit** for the period.
 - ii. In case of **Balance Sheet**, it reflects "**The state of Affairs**" for the fiscal year ended 2080/081.
5. In Our opinion, proprietor is not acted against rules and regulation of the firm.

We heartily thank to the proprietor for the co-operation in auditing period.


Krishna Prasad Chaulagain
Registered Auditor



Date : 2081/12/20

SUDHAR EMPORIUM

FASIKEB, KATHMANDU

Notes to Accounts

As on end of Ashad, 2081

1. Introduction of the Firm.

SUDHAR EMPORIUM is a profit base firm has been registered under Trading & Business Act.

2. Basis of Accounting Policies.

These Financial Statements have been prepared under Generally Accepted Accounting Principles, Auditing Standards and books of accounts have been kept as follow:

- a. In the case of Income on Cash Basis,
- b. In the case of other transactions on Accrual Basis,

3. Fixed Assets and Depreciation

All the Fixed Assets has valuated in Cost Convention and depreciation on Fixed Assets have charged according to Income Act 2058 and under Diminishing Value Method for the period.

4. Taxes collection and Payment

All types of TDS are deducted at sources and deducted amount should be paid within 25th day each next month regularly to the Authorized Office.



SUDHAR EMPORIUM
FASIKEB KATHMANDU

Balance Sheet
as at Ashad 31, 2081

Amount in Nrs

Particulars	Schedule No.	Current Year	Previous Year
Capital and Liability			
Capital and Reserve Fund			
a. Share Capital	1	10,000,000.00	10,000,000.00
b. General Reserve & Surplus	2	953,050.97	5,401,995.91
Medium and Long Term Loan	3		
a. Secured Loan		-	-
b. Unsecured Loan		714,254.21	1,375,302.19
Total (1+2)		11,667,305.18	16,777,298.10
Assets			
Gross Fixed Assets	4	2,222,906.76	2,782,862.65
Less: Accumulated Depreciation		447,118.87	559,955.89
Net Fixed Asset		1,775,787.89	2,222,906.76
Investment	5	-	-
Current Assets		12,719,876.71	18,011,674.12
a. Closing Inventory	6	3,354,819.00	8,283,644.68
b. Receivables	7	5,518,000.00	5,518,000.00
c. Cash and Bank Balance	8	996,601.89	748,284.26
d. Advance, Loan and Deposits	9	2,850,455.82	3,461,745.18
Total Assets		14,495,664.60	20,234,580.88
Current Liabilities and Provision			
a. Current Liabilities	10		
1. Trade and Other Payable		61,489.00	3,051,723.50
2. Short Term loan		2,761,266.52	-
3. Other Liabilities		-	-
b. Provisions	11		
1. Provision for income tax		5,603.90	405,559.28
Total Current Liabilities and Provision		2,828,359.42	3,457,282.78
Pre-operating Expenses	12	-	-
Total (1+2+5+6+7)		11,667,305.18	16,777,298.10

As per our report of even dates


Accountant



SUDHAR EMPORIUM

FASIKEB, KATHMANDU

Income Statement

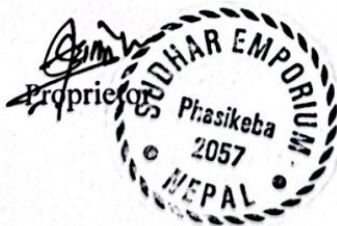
For the Period from Shrawan 1, 2080 to Ashad end, 2081

Amount in Nrs

Particulars	Schedule No.	Current Year	Previous Year
Income			
Sales Income	15	60,773,304.00	118,625,528.00
Cost of Goods Sold	16	56,648,357.20	109,605,279.78
Gross Profit		4,124,946.80	9,020,248.22
Other Income	17	-	-
Operating Expenses		-	-
Selling & Distribution Expenses	18	89,400.00	301,720.00
Administrative Expenses	19	1,980,226.64	3,457,989.73
Operating Profit		2,055,320.16	5,260,538.49
Non- Operating Expenses		-	-
Interest Expenses	20	952,162.32	2,546,251.25
Depreciation	4	447,118.87	559,955.89
Profit Before tax		656,038.96	2,154,331.35
Income Tax Provision		5,603.90	405,559.28
Profit After tax		650,435.07	1,748,772.07
Net Profit		650,435.07	1,748,772.07
Appropriation		-	-
a) Income Tax Paid Earlier year		(99,380.01)	-
b) Vat Paid For the Year		-	-
d) Profit/(Loss) of previous year		5,401,995.91	3,653,223.84
e) Drawing		(5,000,000.00)	-
Transfer to Balance Sheet		953,050.97	5,401,995.91

As per our report of even dates


Accountant



SUDHAR EMPORIUM

FASIKEB, KATHMANDU

Schedules are forming part of the financial statements

SCHEDULE 1 : Capital Investment

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Capital	10,000,000.00	10,000,000.00
Total NRs.	10,000,000.00	10,000,000.00

SCHEDULE 2 : Reserve Fund And Accumulated Profit

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Capital Reserve		
b) Revenue Reserve	-	-
c) Accumulated Profit	-	-
Profit/(Loss) of Previous year	5,401,995.91	3,653,223.84
Profit/Loss of current year	650,435.07	1,748,772.07
a) Income Tax Paid Earlier year	(99,380.01)	-
Drawing	(5,000,000.00)	-
Total NRs.	953,050.97	5,401,995.91

SCHEDULE 3 : Medium and Long Term Loan

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Secured Loan	-	-
1) Long Term Loan	-	-
Global Ime Bank Limited	714,254.21	1,375,302.19
2) Unsecured Loan	-	-
3) Vehicles Loan	-	-
Total NRs.	714,254.21	1,375,302.19

SCHEDULE 5 : Investment

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Investment in Listed Company (other than Subsidiary Company and other related organization)	-	-
Total NRs.	-	-

SCHEDULE 6 : Stock

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Store, Spare Parts and Loose Tools		
b) Stock	3,354,819.00	8,283,644.68
Total NRs.	3,354,819.00	8,283,644.68

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SCHEDULE 7 : Trade and Other Receivable

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Secured Receivable	5,518,000.00	5,518,000.00
b) Unsecured Receivable	-	-
c) Other Receivables	-	-
Less: Bad Debt	-	-
Total NRs.	5,518,000.00	5,518,000.00

SCHEDULE 8 : Cash and Other Balance

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Cash Balance (as certified by management)		
Cash	940,184.35	739,915.00
b) In Transit Balance	-	-
c) Bank Balance:	56,417.54	8,369.26
Total NRs.	996,601.89	748,284.26

SCHEDULE 9 : Advance, Loan and Deposit

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Casual Advances	-	-
b) Trade/Security Deposit	-	-
c) Advance VAT	(362,794.00)	576,301.00
d) Advance to supplier and deposit	3,200,000.00	2,831,448.13
e) Advance Income Tax	13,249.83	53,996.06
f) Advance TDS	-	-
Total NRs.	2,850,455.83	3,461,745.19

SCHEDULE 10 : Current Liabilities

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Short Term Loan	-	-
1) Secured	-	-
1a) loan from Bank	-	-
2) Unsecured	-	-
2a) Bank Overdraft	2,761,266.52	1,471,238.50
2b) Proprietor Advances	-	1,500,000.00
b) Sundry Creditors	-	-
Audit Fee Payable	24,668.00	25,500.00
House rent TDS Payable	24,000.00	24,000.00
Social Security Tax Payable	12,489.00	26,485.00
Audit Fee TDS Payable	332.00	4,500.00
Total NRs.	2,822,755.52	3,051,723.50

SCHEDULE 11 : Provisions

Amount in Nrs.

Particulars	Current Year	Previous Year
a) Provision for Tax	5,603.90	405,559.28
b) Provision for Staffs Welfare	-	-
Total NRs.	5,603.90	405,559.28



SUDHAR EMPORIUM

FASIKEB, KATHMANDU

Schedules are forming part of the financial statements

SCHEDULE 12 : Expenses Not Written Off (Pre-operating expenses) Amount in Nrs.

Particulars	Current Year	Previous Year
a) Pre Operating Expenses	-	-
b) Pre-Operation Expenses	-	-
Total NRs.(a+b+c)	-	-

SCHEDULE 13 : Contingent Liabilities Amount in Nrs.

Particulars	Current Year	Previous Year
a) Claim Against Company	-	-
b) Capital Expenditure incurred on Uncompleted Contract	-	-
Total NRs.	-	-

SCHEDULE 15 : Sales Income Amount in Nrs.

Particulars	Current Year	Previous Year
Income from Sales	60,773,304.00	118,625,528.00
Total NRs.	60,773,304.00	118,625,528.00

SCHEDULE 16 : Cost of Sales Amount in Nrs.

Particulars	Current Year	Previous Year
Opening stock	8,283,644.68	21,041,403.05
Purchase	51,719,531.52	96,847,521.41
Less: Closing Stock	(3,354,819.00)	(8,283,644.68)
Total NRs.	56,648,357.20	109,605,279.78

SCHEDULE 17 : Other Income Amount in Nrs.

Particulars	Current Year	Previous Year
a) Interest Income	-	-
b) Miscellaneous Income	-	-
Total NRs.	-	-

SCHEDULE 18 : Selling and Distribution Expenses Amount in Nrs.

Particulars	Current Year	Previous Year
a) Carriage Outward/Charges	89,400.00	301,720.00
c) Others	-	-
Total NRs.	89,400.00	301,720.00

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SUDHAR EMPORIUM

FASIKEB, KATHMANDU

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SCHEDULE 19 : Administrative Expenses

Amount in Nrs.

Particulars	Current Year	Previous Year
Audit Fee	25,000.00	30,000.00
Bank Charge	72,860.00	83,825.00
Electricity & water Expenses	24,340.00	23,840.00
House Rent	240,000.00	240,000.00
Insurance	204,687.64	164,347.73
Newspaper	3,150.00	3,000.00
Office Expenses	4,090.00	6,080.00
Printing & Stationary Expenses	36,345.00	42,810.00
Software Expenses	12,000.00	25,000.00
Refreshment Expenses	16,340.00	57,410.00
Registration & Renewal Expenses	-	1,250.00
Postage & Telegram	2,430.00	8,670.00
Salary Expenses	1,248,900.00	2,648,500.00
Vehicle Fuel & Repair Expenses	13,286.00	23,847.00
Sundry Expenses	6,050.00	4,080.00
Telephone & Communication	38,650.00	42,650.00
Travelling expenses	32,098.00	52,680.00
Total NRs.	1,980,226.64	3,457,989.73

SCHEDULE 20 : Interest Expenses

Amount in Nrs.

Particulars	Current Year	Previous Year
Interest Expenses	952,162.32	2,546,251.25
Interest Expenses	-	-
Total NRs.	952,162.32	2,546,251.25


Accountant



SUDHAR EMPORIUM
PASIKER, KATHMANDU
Schedules are forming part of the financial statements
as at Ashad 31, 2081

SCHEDULE-4: Fixed Assets		Depn. %	Cost			Depreciation			Balance		
Particulars			Purchase Current year (Rs.)	Qualifying Amount	Sales Adjustment (Rs.)	Balance (Rs.)	Current year (Rs.)	Sales Adjustment (Rs.)	Previous Year (Rs.)	Unabsorbed Addition	Current year (Rs.)
a) Land											
1) Self											
2) Lease											
b) Building		0.05									
Building											
Purchase during the year											
Purchase During the Year											
Purchase during the year											
c) Machinery And Equipment		0.15									
1) Plant and Machinery											
d) Furniture And Fixture		0.25									
Furniture & fixture											
Purchase during the year											
e) Vehicle		0.20									
Vehicle											
Purchase During the Year											
f) Computers		0.25									
Computers											
Purchase during the year											
g) Office Equipment		0.25									
Office Equipment											
Purchase During the Year											
h) Goodwill											
i) Patent, Copy right, Trade Mark and Design											
j) Others											
Current Year Balance (Nrs.)			2,222,906.76				447,118.87		2,398,830.50		1,775,787.89
Previous Year Balance (Nrs.)											2,222,906.76



SUDHAR EMPORIUM

FASIKEB KATHMANDU

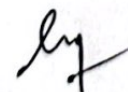
Cash Flow Statement

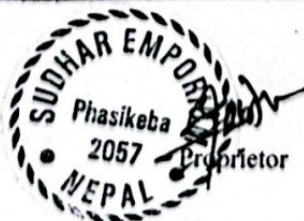
For the Period from Shrawan 1, 2080 to Ashad end, 2081

Amount in Nrs.

SN.	Particulars	Current Year	Previous Year
A.	<u>Cash Flow From Operating Activities</u>		
	1) Net profit/ (loss) Before Tax and Extra Ordinary Income and Expenses	2,055,320.16	2,154,331.35
	Adjustment		
	Add:		
	a) Depreciation	447,118.87	559,955.89
	b) Pre-operating expenses written off	-	-
	c) Tax Paid	-	-
	d) Provisions	(5,603.90)	(405,559.28)
	e) Loss on Sales of Fixed Assets	-	-
	f) Other Non Cash Expenses	-	-
	Less:		
	a) Profit on Sales of Fixed Assets	-	-
	2) Cash Flow before Working Capital Activities	2,496,835.13	2,308,727.96
	a) Decrease/ (Increase) in Current Asset	5,092,996.16	7,180,312.69
	b) Increase/ (Decrease) in Current Liabilities	(628,923.36)	(8,170,818.81)
	c) Cash from Operation	6,960,907.93	1,318,221.84
	d) Interest Paid	(952,162.32)	-
	e) Tax Paid	(99,380.01)	-
	f) Cash Flow Before Extra Ordinary Item	-	-
	h) Profit/(Loss) from Extra ordinary Item	-	-
	Net Cash from Operating Activities	5,909,365.60	1,318,221.84
B.	<u>Cash flows from Investing activities</u>		
	1) Interest/Dividend Received	-	-
	2) Sales/(Purchase) of Fixed Assets/Investment	-	(61,947.00)
	3) Decrease/(Increase) in Loan and Deposits	-	-
	4) Decrease/(Increase) in Pre Operating Expenses	-	-
	5) Sales/(Purchase) of Debenture	-	-
	6) Cash Inflow from Other Investing Activities	-	-
	Net Cash used in Investing Activities	-	(61,947.00)
C.	<u>Cash flows from Financing Activities</u>		
	1) Proceeds from issuance of share capital (Other Than Bonus Share)	-	-
	2) Proceeds/(Payment) from long term borrowings	-	-
	3) Profit Withdrawn	(5,000,000.00)	-
	4) Proceeds /(Payment) from unsecured loan	(661,047.98)	(563,906.42)
	Net Cash used in Financing Activities	(5,661,047.98)	(563,906.42)
	Net increase in cash and cash equivalents (A+B+C)	248,317.62	692,368.42
	Cash and cash equivalents at beginning of period	748,284.26	55,915.84
	Cash and cash equivalents at end of period	996,601.88	748,284.26

As per our report of even dates


 Accountant



Auditor